

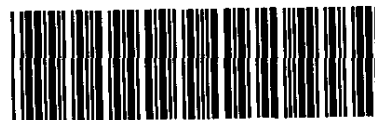
Aiviq Limited

Annual report and financial statements

Registered number 11480862

31 March 2024

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Company Information

Directors	JC Paton LJ Griggs GA Cook
Company number	11480862
Registered office	60 Gresham Street London EC2V 7BB United Kingdom
Auditor	KPMG LLP EastWest Tollhouse Hill Nottingham NG1 5FS United Kingdom
Banker	HSBC Bank UK plc 1 Centenary Square Birmingham B1 1HQ United Kingdom

Directors' report

The Directors present their report and the unaudited financial statements for the year ended 31 March 2024.

Principal activities

The principal activity of the Company is the provision of consulting related services and software products to clients in the asset and wealth management industry.

Results and dividend

For the year ended 31 March 2024 (FY 24¹), the Company recorded revenue of £3,454,000 (FY 23: £3,375,000). Loss after tax decreased to £939,000 (FY 23: £1,084,000). This represents an increasing client base in the year, and continued focus on building further scale, as well as reduced variable staff costs in the year. The Company remains in a net current liabilities position at 31 March 2024, primarily driven by amounts owed to other Group² entities, with the Company also holding £179,000 (FY 23: £1,110,000) of cash for ongoing operations.

The Directors have not recommended the payment of a final dividend (FY 23: £nil).

Future developments

The Directors are optimistic of further improved financial performance in the coming year, whilst remaining mindful of the continuing macro-economic uncertainty. Aiviq continues to present an attractive client data and analytics software proposition for asset managers and continues to add clients. The Directors see further potential in this offering.

Directors

The Directors who held office during the year and at the date of this report were as follows:

JC Paton
LJ Griggs
GA Cook

Political contributions

The Company made no political donations and incurred no political expenditure during the year (FY 23: £nil).

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not repeated those disclosures required in relation to the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is included on pp 46-51 of the Group's Annual Report & Accounts 2024, which are available on the Group's website.

Audit

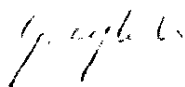
For the year ending 31 March 2024, the Company was entitled to exemption from audit under s479A of the Companies Act 2006. The Directors acknowledge their responsibilities under the Companies Act 2006 regarding accounting records and the preparation of these accounts, and confirm the members of the Company have not required an audit of these accounts.

¹ FY 24 is the financial year covering the 12 months to 31 March 2024. By comparison, FY 23 is the previous financial year covering the 12 months to 31 March 2023. FY 25 is the subsequent financial year covering the 12 months to 31 March 2025.

² Group refers to the Company's ultimate parent as at 31 March 2024, Alpha Financial Markets Consulting plc, and its subsidiaries.

Directors' report (continued)

By order of the Board.



Greg Cook

Director

60 Gresham Street
London
United Kingdom
EC2V 7BB

17 December 2024

Statement of Directors' responsibilities in respect of the Directors' report and the financial statements

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Under applicable law and regulations, the Directors are also responsible for preparing a Directors' Report that complies with that law and those regulations.

The directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Profit & loss account
for the year ended 31 March 2024

	Note	Year ended 31 March 2024 £000	Year ended 31 March 2023 £000
Revenue	2	3,454	3,375
Cost of sales	4, 5	(3,672)	(4,024)
Gross loss		(218)	(649)
Administration expenses		(1,069)	(808)
Operating loss		(1,287)	(1,457)
Other interest payable and similar expense		-	-
Loss before taxation		(1,287)	(1,457)
Taxation	6	348	373
Loss for the year		(939)	(1,084)

In both the current and preceding year, the Company made no acquisitions and had no discontinued operations.

There was no other comprehensive income in either the current or preceding year and therefore no separate statement of other comprehensive income has been presented.

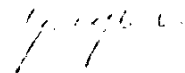
The accompanying notes form part of these financial statements.

Balance sheet
as at 31 March 2024

	Note	As at 31 March 2024 £000	As at 31 March 2023 £000
Non-current assets			
Investments	10	-	-
Property, plant and equipment	8	30	26
Capitalised implementation costs	11	79	112
Intangible assets	9	311	-
Amounts owed by Group undertakings	11	406	-
		826	138
Current assets			
Trade and other receivables	11	267	711
Deferred tax asset	7	252	179
Corporation tax		-	131
Cash at bank and in hand	12	179	1,110
		698	2,131
Current liabilities			
Trade and other payables	13	(7,023)	(6,754)
		(7,023)	(6,754)
Net current liabilities		(6,325)	(4,623)
Total assets less current liabilities		(5,499)	(4,485)
Non-current liabilities			
Other non-current liabilities	14	(192)	(232)
Net liabilities		(5,691)	(4,717)
Capital and reserves			
Issued share capital	15	-	-
Retained earnings		(5,871)	(4,932)
Other reserves		180	215
Total shareholders' equity		(5,691)	(4,717)

For the year ending 31 March 2024, the Company was entitled to exemption from audit under s479A of the Companies Act 2006. The Directors acknowledge their responsibilities under the Companies Act 2006 regarding accounting records and the preparation of these accounts, and confirm the members of the Company have not required an audit of these accounts.

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 17 December 2024. They were signed on its behalf by:



Greg Cook
Director

Company registered number: 11480862

Statement of changes in equity
for the year ended 31 March 2024

	Issued share capital £000	Other reserves £000	Retained earnings £000	Total Shareholders' equity £000
As at 1 April 2022	-	-	(3,848)	(3,848)
Total comprehensive income for the period				
Loss for the year	-	-	(1,084)	(1,084)
Transactions with owners				
Dividends	-	-	-	-
Current tax recognised in equity	-	122	-	122
Deferred tax recognised in equity	-	93	-	93
As at 31 March 2023	<u>-</u>	<u>215</u>	<u>(4,932)</u>	<u>(4,717)</u>
Total comprehensive income for the period				
Loss for the year	-	-	(939)	(939)
Transactions with owners				
Dividends	-	-	-	-
Current tax recognised in equity	-	-	-	-
Deferred tax recognised in equity	-	(35)	-	(35)
As at 31 March 2024	<u>-</u>	<u>180</u>	<u>(5,871)</u>	<u>(5,691)</u>

The accompanying notes form part of these financial statements.

Notes to the financial statements (forming part of the financial statements)

1 Accounting policies

General information

Aiviq Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 11480862 and the registered address is 60 Gresham Street, London, United Kingdom, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

Basis of preparation

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken. Further, in accordance with Section 414A (2) and 414B (b) of the Companies Act 2006, the Company has taken the exemption from preparing a strategic report.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting plc are available to the public and may be obtained from 60 Gresham Street, London, United Kingdom, EC2V 7BB or on the website at alphafmc.com/investors.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRS;
- The requirements of paragraphs 17 and 18A of IAS 24 Related Party Disclosures; and
- The requirements in IAS 24 to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member.

As the consolidated financial statements of Alpha Financial Markets Consulting plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share-based Payment in respect of Group settled share-based payments;
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities; and
- The requirements of IFRS 7 Financial Instruments: Disclosures.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

These financial statements have been prepared on the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, access to intercompany funding from other Group entities, cash liquidity and existing borrowing facilities.

Notes to the financial statements (*continued*)

1 Accounting policies (*continued*)

Going concern (*continued*)

Notwithstanding net current liabilities of £6,325,000 as at 31 March 2024, the financial statements have been prepared on a going concern basis. The Directors consider this to be appropriate on the basis of cash flow forecasts prepared for the wider Group, which support the ability of the Company to operate as a going concern. The Group prepared cash flow forecasts covering the going concern period, which have been revised to reflect the acquisition of the Group by Actium Bidco (UK) Limited after the reporting date, as disclosed in note 17, including the restructuring of the Group's financing arrangements through the going concern period. The Directors of the Group considered the principal risks and mitigants and analysed a base case, reflecting the Group's board approved budget for the going concern period, as well as a reasonably possible downside scenario. This downside scenario models a 20% reduction in Group forecast revenue with some limited cost mitigants applied. These modelled mitigants consist of a hiring freeze alongside a partial reduction in the Group's discretionary profit share bonus payment budgeted for the FY 25 performance year, with the Group's underlying cost base unaffected. In this reasonable downside scenario, the Group has relied upon access to funding of up to £10.0m from the Group's available £50.0m RCF through the going concern period. No covenant breaches have been identified in either scenario.

The Directors consider this reasonably possible scenario and the sequence of events that could lead to it to be unlikely. There remains headroom on the Group's RCF to facilitate further liquidity, as well as scope for further mitigating cost actions to be taken on the underlying cost base, if required.

The ability of the Company to settle its liabilities as they fall due within the going concern period is dependent on the Company's ultimate parent company not seeking repayment of the amounts currently due to other companies controlled by the Group, which at 31 March 2024 amounted to £5,801,000. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility ("RCF") of £50.0m. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

After careful consideration, the Directors have a reasonable expectation that the Company's existing resources, supplemented by the support of the wider Group, are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements.

Principal accounting policies

Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

The Directors have made one judgement, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the year ending 31 March 2024.

Revenue recognition

The Directors note that the process of revenue recognition in the Company requires a judgement to be made on the identification of distinct performance obligations under the Company's software contracts with customers. These contracts comprise software fees and other related services, which customers can access over the life of the contract, in line with related performance obligations. Interpretation of the terms of these contracts determine whether the performance obligation is satisfied over time or at a point in time. For further information on the accounting policy implemented by the Company, please refer to the revenue recognition policy below.

The Directors have not identified any significant estimates in the year ended 31 March 2024.

Property, plant and equipment

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3 years
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Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

Notes to the financial statements (*continued*)

1 Accounting policies (*continued*)

Foreign currency

Transactions in foreign currencies are translated to the Company's functional currency at the average foreign exchange rate in the month of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the average exchange rate in the month of the transaction and are not retranslated. Foreign exchange differences arising on translation to functional currency are recognised in administration expenses.

Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Company's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

The Company recognises an expected credit loss provision in relation to financial assets. The simplified method is applied to the Company's trade receivables as described below. The Company's expected credit loss provision on all other financial assets is immaterial as the probability of default is low. Movements in the expected credit loss provision are recognised in profit or loss.

Trade and other receivables

Trade and other receivables are recognised initially at fair value, equal to the transaction price and subsequently measured at amortised cost, less provision for impairment. The trade receivables balance recorded on the Company's balance sheet are held until realised in cash.

The Company provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade receivables have been grouped based on shared credit characteristics and the days past due. The Company consider historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer-specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include: historical collection experience for each customer; the assessed liquidity of key customers within the receivables balance; and other relevant macro-economic factors in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9. Bank overdrafts that are repayable on demand and are included as a component of cash and cash equivalents.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2024, the Company had no derivative financial instruments or designated hedge relationships.

Other financial liabilities held by the Company are recognised at amortised cost.

Trade and other payables

Trade and other payables are initially recognised at fair value, equal to the transaction price, and are subsequently measured at amortised cost. Trade payables due within one year are not discounted.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost. Balances due within one year are not discounted.

Leases

The Company leases office premises for use in operations. In line with the practical expedients defined below, all office leases held by the company are outside of the scope of IFRS 16 in the current and prior period.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

The Company has used the practical expedients permitted by IFRS 16 in relation to accounting for leases with a lease term of less than 12 months as 'short-term leases', and those with a low value as 'low value leases'. Consequently, no lease liability or right-of-use asset was calculated thereon. These leases are expensed in the statement of profit and loss. The Company has also used the practical expedient permitted by IFRS 16 to apply a single discount rate to a portfolio of leases with reasonably similar characteristics.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitors for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

Intangible assets

Internally developed intangible assets

Capitalised development costs represent the costs incurred in the development of internally generated software within Aiviq Limited.

A useful economic life of 3 years has been deemed appropriate based on the expected project lifecycle in development of new software. The amortisation charge is recognised in administrative expenses within the profit and loss account.

Impairment of non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Impairment of non-financial assets

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the statement of comprehensive income as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the balance sheet.

Share-based payments

The cost of share-based employee compensation arrangements, whereby employees receive remuneration in the form of shares or share options, is recognised as an employee benefit expense in the statement of profit or loss.

The total expense to be apportioned over the vesting period of the benefit is determined by reference to the fair value (excluding the effect of non-market-based vesting conditions) at the date of grant.

In determining the fair value of share-based payments under IFRS 2, management has considered a number of internal and external factors in order to judge the probability that management and employee share incentives may vest. Such judgements involve estimating future performance and other non market-based factors.

At the end of each reporting period the assumptions underlying the number of awards expected to vest are adjusted for the effects of non-market-based vesting conditions to reflect the conditions prevailing at that date. The impact of any revisions to the original estimates is recognised in the statement of profit or loss, with a corresponding adjustment to the amounts owed to Group undertakings. Fair value is measured by the use of a binomial model. The assumptions have been adjusted, based on management's best estimate, for the effects of non-transferability, lack of dividend until vesting and exercise restrictions.

The fair value calculations in both the current and prior years have been externally assessed as reasonable in the circumstances.

After vesting, the Company's ultimate parent satisfies share option exercises either through the issuance of new ordinary shares, or through the transfer of existing shares held in the Company's EBT to the employee. Any share options not exercised upon vesting remain outstanding until the end of the contracted exercise period.

An associated employers' social security tax liability on these share options is accrued through the vesting period to align with the payment due upon exercise. The value of this liability at the balance sheet date is assessed by reference to the estimated future share price on exercise, where applicable.

Regarding the share-based payments charge relating to employees of the Company, there is an intra-group recharge arrangement with the Company's ultimate parent undertaking, to reflect the benefits received by the respective entity in relation to employees granted share options. The Company is considered to be the receiving entity in the arrangement, in line with the benefit received for services provided through ongoing employment. The Company's ultimate parent undertaking is deemed to be the settling entity in the intra-Group arrangement, as share options granted are in relation to ordinary shares of the parent, and recognises the share-based payments charge for the full Group in other reserves.

Amounts relating to employees who provide services directly to the Company are recorded within the profit and loss account in the form of a management recharge.

The Company's management and employees have access to an equity settled share-based payment arrangement for new employees which forms a part of the wider schemes offered across the Group, which are settled in Alpha Financial Markets Consulting plc shares. The Company has two distinct schemes, the 'management incentive plan' ("MIP") and the 'employee incentive plan' ("EIP"). These are described below.

Notes to the financial statements (*continued*)

1 Accounting policies (*continued*)

Employee benefits (continued)

The management incentive plan

The Group has a management incentive plan ("MIP") to retain and incentivise directors and senior management. The MIP consists of four parts: part A of which will enable the granting of enterprise management incentive and non-tax advantaged options to acquire shares; part B of which will enable the awarding of JSOPs; part C of which will enable the awarding of restricted stock units ("RSUs") for participants in the US; and part D of which will enable the awarding of RSUs in France (together the "options").

In prior years, the majority of options granted to certain directors and senior management of the Group were subject to the fulfilment of three or more of the following performance conditions: (a) the Group achieving adjusted EPS growth of 15.0% or more to trigger a maximum award, or 10.0% to trigger a 66% award, with a linear application of awards between these levels; (b) the Group achieving a total shareholder return ("TSR") over three years in excess of the mean TSR delivered by a peer group of comparable companies; (c) personal adherence to corporate values and risk policy; and (d) specific business unit EBITDA, or other personal targets and goals.

As disclosed last year, the Remuneration Committee approved performance conditions for FY 23 awards, which further modified the adjusted EPS growth range set out above to reflect the growth of the Group since AIM admission. The criteria for these share incentive awards to certain directors and senior management of the Group, depending on the individual and their role, include: (a) the Group achieving adjusted EPS growth of 11.25% or more to trigger a maximum award, or 7.5% to trigger a 66% award, with a linear application of awards between these levels; (b) personal adherence to corporate values and risk policy; and (c) specific business unit EBITDA, or other personal targets and goals. These criteria were also applied to FY 24 awards granted in the year.

Awards to senior management also contain a market condition requiring the Group to achieve a TSR over three years in excess of the mean TSR delivered by a peer group of comparable companies.

MIP awards have either nominal or minimal exercise price payable in order to acquire shares pursuant to options. MIP awards have either three- or four-year vesting periods from the date of grant and are usually equity settled.

The employee incentive plan

In addition to the MIP, the Board has previously put in place a medium-term employee incentive plan ("EIP"). Under the EIP, a broad base of the Company's employees has been granted share options or share awards over a small number of shares. The EIP is structured as is most appropriate under the local tax, legal and regulatory rules in the key jurisdictions and therefore varies between those jurisdictions. No EIP awards were made in the current or prior years.

Further disclosure of these schemes is provided within the Group's consolidated 2024 Annual Report & Accounts, and the share-based payment arrangement concerns equity instruments of the Company's ultimate parent company, Alpha Financial Markets Consulting plc, and therefore the Directors have applied disclosure exemptions for the subsidiary accounts as permitted under FRS 101.

Revenue recognition

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income is measured based on the transaction price allocated to the performance obligation from the sale of goods or provision of services. Net fee income is recognised either at a 'point in time' when the performance obligation in the contract has been performed or 'over time' as control of the goods or services are transferred to the customer. Recharged expenses comprise the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company. The Company delivers services that have no alternative use to Alpha (advice to clients, reports, etc.) as the services are specifically tailored to clients' projects and scope of work.

Revenue generated from software licensing, hosting and related support services provided over a contracted period of time is combined and allocated to a single performance obligation. These contracts are considered to be satisfied over time, in line with the benefits being transferred to the customer. Revenue is recognised on straight-line basis over the contractual license term.

Implementation services provided by the Company to the customer are classified as either being distinct performance obligations or non-distinct from the licensing and hosting promises described above, dependent on the fact pattern within the underlying contractual arrangement. The Company considers the level of inter-dependency between the contractual promises, and whether the customer can consume the benefits of the licence without the implementation service being performed. Where implementation services are required for the customer to use the software, these services are considered to be non-distinct from the licensing performance obligation. Therefore, the Company accounts for these as a single performance obligation

Notes to the financial statements (*continued*)

1 Accounting policies (*continued*)

Revenue recognition (*continued*)

satisfied over the licence term, as described above. The Company generally considers the initial phase of implementation to be non-distinct from the associated licence. The Company typically bills and receives cash for these implementation services in advance of the revenue being recognised, resulting in the recognition of a contract liability.

Other distinct implementation services, as well as separately billable maintenance, support, data assurance and training are treated as separate performance obligations and revenue is recognised as these services are delivered.

Contract modifications relating to the renewal of software licences are accounted for as separate revenue contracts. Other contract modifications are considered on a case by case basis.

Activity performance recognised as revenue in excess of invoices raised are contract receivables and are included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to trade receivables. Where amounts have been invoiced in excess of revenue recognised, the excess is a contract liability and is included within deferred income.

In relation to licencing contracts, billing occurs at the beginning of the contractual licence period or incrementally over the course of the licence, in line with the contractual terms. For implementation services, billing typically occurs a month in arrears in line with a contractually agreed schedule.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

Cost of sales

Cost of sales is defined by management as the direct costs associated with the generation of the Company's revenue, including staff payroll and contractor costs that are directly attributable to the delivery of services and supporting growth.

With regard to the Company's software licensing arrangements, costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset and are subsequently amortised through cost of sales on a systematic basis, in line with the transfer of goods or services to the customer.

Administration expenses

Administration expenses are defined by management as costs incurred by the Company that are not directly associated with the generation of revenue. This includes items such as head office staff costs, recruitment and professional fees and IT services, which are expensed as incurred. Administration expenses exclude finance income and expenses and taxation, which are presented separately in the profit and loss account.

Finance income and finance expense

Finance income includes interest receivable on cash invested. Finance expense includes interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16.

Interest income and interest payable on bank loans or amounts due to certain Group undertakings is recognised in profit or loss as it accrues, using the effective interest method.

Taxation

Current and deferred tax is recognised in the profit & loss account.

Current tax is the expected tax payable or receivable on the taxable income for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be

Notes to the financial statements (*continued*)

1 Accounting policies (*continued*)

Taxation (continued)

recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2024. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 17 Insurance Contracts, effective from 1 January 2023;
- Amendments to IFRS 17, effective from 1 January 2023;
- Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2), effective from 1 January 2023;
- Definition of Accounting Estimates (Amendments to IAS 8), effective from 1 January 2023;
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12), effective from 1 January 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – Application of the exception and disclosure of that fact, effective from 23 May 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – other disclosure requirements, effective from 1 January 2023; and
- International Tax Reform – Pillar Two Model Rules (Amendments to the 'IFRS for SMEs' Standard), effective from 29 September 2023 (not yet endorsed by the UK).

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2024.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Revenue

	FY 24 £000	FY 23 £000
<i>By activity</i>		
Provision and implementation of software and related services	3,454	3,375

3 Auditor's remuneration

	FY 24 £000	FY 23 £000
Audit of these financial statements	-	45

As disclosed on p. 119 of the Group's Annual Report & Accounts 2024, the Company has taken advantage of the parent company guarantee exemption to prepare unaudited accounts in accordance with s479A of the Companies Act 2006. The guarantee is provided by the ultimate controlling party as at 31 March 2024, Alpha Financial Markets Consulting plc. Therefore, there is no audit fee in relation to the FY 24 accounts.

Notes to the financial statements (continued)

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Average number of employees	
	FY 24	FY 23
Administrative	-	1
Sales	28	20
Average number of employees in the year	<u>28</u>	<u>21</u>

The aggregate payroll costs of these persons were as follows:

	FY 24	FY 23
	£000	£000
Wages and salaries	2,172	2,423
Social security costs	279	291
Contributions to defined contribution plans	57	24
Total staff costs for the year	<u>2,508</u>	<u>2,738</u>

At the year end, 428,939 (FY 23: 243,962) share options over the equity in Alpha Financial Markets Consulting Plc, the ultimate parent company, remained outstanding to the Company's management and employees. The weighted average remaining contractual period to vest for outstanding share options is 1 year. All share options outstanding at the year end date have a nominal exercise price. During the year 168,897 share options vested (FY 23: 165,197), none of which were exercised during the year. No share options were exercised in the year relating to awards that vested in the comparative period. The Company has incurred a charge to the profit & loss account in FY 24 of £447,000 (FY 23: £163,000) relating to these schemes under IFRS 2 for employees and management that provide direct services to the Company of which £67,000 (FY 23: £37,000) relates to associated social security taxes in the current year.

5 Directors' remuneration

	FY 24	FY 23
	£000	£000
Directors' remuneration	330	328
Company contributions to money purchase pension plan	<u>10</u>	<u>9</u>

The highest paid director received remuneration of £330,000 (FY 23: £328,000). The value of the company's contributions paid to defined contribution pension scheme in respect of the highest paid director amounted to £10,000 (FY 23: £9,000). The highest paid director exercised no share options during the year (FY 23: no share options exercised).

No Directors providing material qualifying services exercised share options during the year (FY 23: nil).

	Number of Directors	
	FY 24	FY 23
Benefits are accruing to the following number of Directors under:		
Money purchase schemes (retirement benefits)	1	1
Long term share incentive plan	<u>1</u>	<u>1</u>

Amounts paid or payable to certain of the Company's Directors through other Group companies have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis their services are predominantly provided to the other Group companies.

Notes to the financial statements *(continued)*

6 Taxation

	FY 24		FY 23	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the year		-		(9)
Group relief payable/(receivable)		(227)		(219)
Adjustments in respect of prior periods		(13)		(15)
Total current tax		(240)		(243)
<i>Deferred tax (see note 7)</i>				
Origination and reversal of timing differences	(90)		(58)	
Effect of tax rate change on opening balances	-		(8)	
Adjustments in respect of prior periods	(18)		(64)	
		(108)		(130)
Total tax expense for the year		(348)		(373)

The Finance Act 2022 increased the main rate of corporation tax in the UK to 25% from 1 April 2023. The deferred tax balances reflect this substantively enacted rate in the current and prior years.

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

	FY 24	FY 23
	£000	£000
Loss before taxation	(1,287)	(1,457)
Tax using the UK corporation tax rate of 25% (FY 23: 19%)	(322)	(277)
Fixed asset differences	-	(1)
Expenses not deductible for tax purposes	5	(8)
Group relief surrendered	227	219
Payment received for group relief	(227)	(219)
Adjustments in respect of prior periods (current tax)	(13)	(15)
Adjustments in respect of prior periods (deferred tax)	(18)	(64)
Remeasurement of deferred tax for changes in tax rates	-	(8)
Total tax income for the year	(348)	(373)

Notes to the financial statements (continued)

7 Deferred tax

Movements in deferred tax

As at 31 March 2024

	1 April 2023	Recognised in income	Recognised in equity	31 March 2024
	£'000	£'000	£'000	£'000
Accelerated capital allowances	(6)	-	-	(6)
Short-term timing differences	(4)	-	-	(4)
Share options	189	108	(35)	262
Net deferred tax asset	179	108	(35)	252

As at 31 March 2023

	1 April 2022	Recognised in income	Recognised in equity	31 March 2023
	£'000	£'000	£'000	£'000
Accelerated capital allowances	(45)	39	-	(6)
Short-term timing differences	1	(5)	-	(4)
Share options	-	96	93	189
Net deferred tax (liability)/asset	(44)	130	93	179

The Company has no unrecognised tax losses in addition to the deferred tax assets above (FY 23: £nil).

8 Property, plant and equipment

	Computer equipment £000
Cost	
Balance at 1 April 2023	80
Additions	22
Disposals	(37)
As at 31 March 2024	65
Depreciation and impairment	
Balance at 1 April 2023	(54)
Depreciation charge for the year	(18)
Disposals	37
As at 31 March 2024	(35)
Net book value	
At 31 March 2024	30
At 1 April 2023	26

Notes to the financial statements (*continued*)

9 Intangible assets

	Capitalised development costs £000
Cost	
Balance at 1 April 2023	1,391
Additions	311
As at 31 March 2024	<u>1,702</u>
Amortisation	
Balance at 1 April 2023	(1,391)
Amortisation charge for the year	-
As at 31 March 2024	<u>(1,391)</u>
Net book value	
At 31 March 2024	<u>311</u>
At 1 April 2023	-

10 Fixed asset investments

	Shares in Group undertakings £000
At 31 March 2024 & 31 March 2023	<u>-</u>

The undertakings in which the Company had an interest at the year end of more than 20% are as follows:

Subsidiary undertakings	Country of incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2024	Class and percentage of shares held - 31 March 2023
Obsidian Alpha Data Solutions LLC	Serbia	1	Consultancy services	100% ordinary	100% ordinary

Registered address:

1. Dvadesetsedmog marta 6-6a, 11060 Palilula, Belgrade, Serbia

Notes to the financial statements (continued)

11 Trade and other receivables

	FY 24 £000	FY 23 £000
Trade receivables	173	315
Capitalised implementation costs	54	94
Prepayments and accrued income	40	81
Amounts owed by Group undertakings	-	221
Total amounts due within one year	<u>267</u>	<u>711</u>

Amounts owed by Group undertakings are interest free and are repayable on demand. As at 31 March 2024, amounts owed by Group undertakings of £406,000 (FY 23: £nil) are presented separately as non-current assets on the balance sheet.

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit losses in relation to amounts owed by Group undertakings were immaterial in both the current and prior year.

Amounts relating to the capitalisation of non-distinct software implementation costs, incurred in advance of the commencement of the client's licence period, are recognised in current and non-current assets. Non-current capitalised implementation costs of £79,000 (FY 23: £112,000) are presented on the face of the balance sheet. These current and non-current implementation assets in relation to contracts are amortised over an expected life equivalent to the contracted licence period. Amortisation recognised in the period in respect of these costs amounted to £94,000 (FY 23: £205,000). No impairment was deemed necessary in the period. No significant judgements have been made in determining the amount of costs to be capitalised, which primarily comprise costs within scope of IAS 19 Employee Benefits.

12 Cash and cash equivalents

	FY 24 £000	FY 23 £000
Cash at bank	179	1,110
Cash and cash equivalents	<u>179</u>	<u>1,110</u>

All cash and cash equivalents held by the Company are available for use by the Company with no restrictions.

13 Trade and other payables

	FY 24 £000	FY 23 £000
Trade payables	167	42
Amounts owed to Group undertakings	5,801	5,305
Taxation and social security	202	227
Accruals and deferred income	761	1,137
Social security tax on share options	92	43
Total amounts owed within one year	<u>7,023</u>	<u>6,754</u>

Amounts owed to Group undertakings are non-interest-bearing and are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on revenue contracts billed in advance, where the performance obligation is satisfied over time. The contract liability movement in the year represents these timing differences across contracts at each year end. The following table sets out the revenue recognised in the current year that relates to carry forward contract liabilities and the liabilities recognised in the current year which have been deferred to the next reporting period. All current deferred income is expected to be recognised through revenue within one year. Movements in the year predominantly relate to the underlying operations of the business, and no material contract liabilities were recognised in relation to changes in estimates or contract modifications. There were no contract modifications in the year that resulted in the recognition of revenue from performance obligations satisfied in previous periods.

Notes to the financial statements *(continued)*

13 Trade and other payables (continued)

	FY 24	FY 23
	£000	£000
Contract liabilities at the start of the year	952	1,059
Increase in contract liabilities during the year	562	720
Contract liabilities recognised in revenue during the year	(739)	(827)
Balance at the end of the year	<u>775</u>	<u>952</u>

The table below shows the revenue that the Company will earn from customers when the Company satisfies the remaining performance obligations in certain contracts. These mainly relate to multi-year contracts which range between 1 to 5 years in which software license and implementation revenue is recognised over the license period. The following table sets out the aggregate amount of the contracted transaction price allocated to performance obligations that are unsatisfied or partly satisfied at the year end date. Amounts relating to contracts with an expected original life of less than one year are not disclosed. Revenue from unperformed performance obligations is expected to be recognised in the following timeframes:

	FY 24	FY 23
	£000	£000
To be undertaken and recognised within one year	2,589	1,373
To be undertaken and recognised between one and three years	3,337	2,257
To be undertaken and recognised after three years	2,310	1,614
	<u>8,236</u>	<u>5,244</u>

14 Other non-current liabilities

	FY 24	FY 23
	£000	£000
Deferred income	156	214
Social security tax on share options	36	18
	<u>192</u>	<u>232</u>

15 Capital and reserves

	FY 24	FY 23
	£	£
Allotted, called up and fully paid		
1 ordinary share of £1 each	1	1
	<u>1</u>	<u>1</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

16 Related parties

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries within the Alpha Group, and remuneration of the Company's key management personnel. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

Notes to the financial statements (*continued*)

17 Ultimate parent company

As at 31 March 2024, the ultimate parent company and controlling party was Alpha Financial Markets Consulting plc, a company incorporated in England and Wales.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London EC2V 7BB, United Kingdom, or the website investors.alphafmc.com.

17 Events after the reporting period

Change in control of the Company following the acquisition of the Group by Actium Bidco (UK) Limited

On 19 August 2024, the Company's ultimate parent company, Alpha Financial Markets Consulting plc, was acquired by Actium Bidco (UK) Limited. Following this acquisition, the shares of Alpha Financial Markets Consulting plc were de-listed from AIM on 20 August 2024 and the company was re-registered as a private limited company under the Companies Act 2006. Actium Bidco (UK) Limited is a wholly owned indirect subsidiary of Actium Topco (UK) Limited, which is owned by certain funds managed by Bridgepoint Advisers Limited.

Settlement of share options held by the Company's employees in Alpha Financial Markets Consulting plc

As a result of the acquisition of the Company's ultimate parent company, Alpha Financial Markets Consulting plc, by Actium Bidco (UK) Limited, all unvested share options held by the Company's employees in Alpha Financial Markets Consulting plc vested early. Subsequently, 0.4 million share options were exercised, and the shares were purchased for an agreed price of £5.05 per share. Consequently, after the balance sheet date, in August 2024, the Company incurred an accelerated charge in relation to employer's social security taxes due on the exercise of these share options. Employer's social security taxes of £0.2m became due on exercise, compared to a total liability of £0.1m on the balance sheet as at 31 March 2024.

Furthermore, as vesting of these options was accelerated upon the completion of the acquisition, the Company also recognised a material share-based payment-related intra-group recharge in its profit & loss account of £0.3m in August 2024, amounting to the entire remaining charge for these share options.

These events have not been adjusted for in the financial statements for the year ended 31 March 2024 as they resulted from conditions that arose after the end of the reporting period.